

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Canada 2021



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Description of policy rules for 2021

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Preface

This report provides a detailed description of the tax and benefit rules in Canada as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2021**.
- The TaxBEN models all policies in effect on the reference date. This includes temporary policies implemented in response to the **Covid-19 pandemic**.
- The symbol ⓘ in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.

The OECD tax-benefit model for Canada: Policy rules in 2021

1. Reference wages

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#)).¹ If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

The minimum wage **[MIN]** used by the TaxBEN model is an average across provinces weighted by employment shares. In 2021, the minimum wage is $\text{CAD } 13.84 * 40 * 52 = \text{CAD } 28\,787.20$ per year.

2. Unemployment benefits

2.1. Unemployment insurance (*Employment Insurance*)

Variable names:³ **[UB; UI_p; UI_s; FSUP]**

It is contributory, not means-tested and taxable. 

The Employment Insurance (EI) program provides temporary income support(s) to replace lost employment income to individuals who become unemployed involuntarily (i.e., regular or fishing benefits), or need to temporarily take time away from work because of sickness, pregnancy, or taking leave from work to provide care for a newborn or newly adopted child, or a critically or gravely ill family member (special benefits). The EI program is designed to support labour market transitions by acting as an economic stabilizer over the economic cycle and assisting people by providing income support through Part I of the *Employment Insurance Act*. Furthermore, the EI program provides active measures to return to employment including training, through Part II of the *Act*. Benefits are earnings-related and are subject to a maximum amount.

2.1.1. Eligibility conditions

All persons in paid employment and self-employed fishers, who contribute to the Employment Insurance (EI) program by paying premiums, are potentially eligible to receive EI regular and special benefits. All workers who have paid premiums in the past year and meet the qualifying and entitlement conditions can apply to receive EI benefits, regardless of age.

¹ Average Wages are estimated by the Centre for Tax Policy and Administration at the OECD. For more information on methodology see the latest Taxing Wages publication.

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

Self-employed Canadians (other than self-employed fishers) are able to opt in to the EI program on a voluntary basis to be only eligible for EI special benefits (e.g., maternity, parental, sickness, compassionate care and family caregiver for children or adults).

Contribution/employment history: entrance requirements for EI regular benefits vary with the local monthly EI unemployment rate. A minimum of 420 hours of work in their qualifying period (generally a 52-week period prior to the loss of employment) is required in areas of relatively high unemployment (over 13%) and 700 hours in areas of relatively low unemployment (6% or lower).

EI Entrance Requirements

Regional rate of unemployment (%)	Required number of insured hours of employment in the qualification period
6 and under	700
Over 6 to 7	665
Over 7 to 8	630
Over 8 to 9	595
Over 9 to 10	560
Over 10 to 11	525
Over 11 to 12	490
Over 12 to 13	455
Over 13	420

For paid employees in insurable employment, access to all EI special benefits is a flat entrance requirement of 600 hours of insurable employment in the 52-week period immediately preceding the claim or the period since the start of the previous claim. This requirement does not vary according to regional unemployment rates. Qualification for EI fishing benefits is based on earnings, as opposed to weeks or hours of work.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.⁴ To be eligible to receive special benefits, self-employed Canadians must

1. be registered with the Canada Employment Insurance Commission
2. have contributed to the EI program for a period of at least 12 months.

In order to qualify for special benefits, they must demonstrate that they have reduced the amount of time devoted to their business by more than 40% and have earned a minimum amount of self-employment earnings in the preceding calendar year (CAD 7,121 in 2018 for claims made in 2021).⁵

⁴ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

⁵ TaxBEN does not model unemployment benefits for self-employed workers. Therefore EI special benefits are not modelled.

2.1.2. Benefit amount

Calculation base: The calculation of benefit is based on average weekly insurable earnings. Since April 7, 2013, average weekly insurable earnings are calculated from the best weeks of earnings in the qualifying period (usually 52 weeks). The number of best weeks ranges between 14 and 22 depending on the monthly regional EI unemployment rate.

Benefit amount: The replacement rate is 55% of average weekly insurable earnings. The maximum weekly EI benefit rate is CAD 595 per week based on the maximum weekly insurable earnings of CAD 1083 for 2021.

EI claimants from low-earning families with children are eligible for the EI Family Supplement, which increases the replacement rate of their earnings. In this context, low-earning is defined as net family income under CAD 25 921. Recipients can receive up to an 80% replacement rate depending on their net family income and the number and age(s) of the children (see table below). Claimants with family income below CAD 20 921 receive the full supplement available to them based on the number and age(s) of their children.

Family Supplement - rate increase
(in CAD)

Family income range	Number of children			Top-up for each additional child	Age supplement for each child under 7
	1	2	3		
Below 20 921	31.30	58.70	86.10	27.45	4.15
20 921 - 21 250	31.25	58.60	86.00	27.40	4.10
21 251 - 21 500	28.50	53.60	78.80	25.60	3.85
21 501 - 21 750	26.45	49.90	73.45	24.25	3.65
21 751 - 22 000	24.45	46.25	68.20	22.85	3.45
22 001 - 22 250	22.55	42.70	63.15	21.50	3.25
22 251 - 22 500	20.70	39.30	58.15	20.15	3.05
22 501 - 22 750	18.90	35.95	53.30	18.75	2.80
22 751 - 23 000	17.15	32.70	48.60	17.40	2.60
23 001 - 23 250	15.45	29.55	44.00	16.00	2.40
23 251 - 23 500	13.80	26.50	39.55	14.65	2.20
23 501 - 23 750	12.25	23.55	35.25	13.30	2.00
23 751 - 24 000	10.70	20.70	31.05	11.90	1.80
24 001 - 24 250	9.25	17.95	26.95	10.55	1.60
24 251 - 24 500	7.85	15.30	23.05	9.15	1.40
24 501 - 24 750	6.55	12.75	19.20	7.80	1.20
24 751 - 25 000	5.25	10.25	15.55	6.45	1.00

25 001 - 25 250	4.00	7.90	12.00	5.05	0.75
25 251 - 25 500	2.85	5.65	8.55	3.70	0.55
25 501 - 25 750	1.75	3.45	5.25	2.30	0.35
25 751 - 25 921	0.70	1.40	2.10	0.95	0.15

Although Family Supplement recipients can receive up to an 80% replacement rate overall, the maximum weekly EI benefit rate, including the Family Supplement, is subject to the maximum of CAD 595 for 2021.

2.1.3. *Benefit duration*

EI regular benefits are payable for a maximum period of 45 weeks, starting after an unpaid one-week waiting period.⁶ The number of weeks of benefits to which a claimant is entitled is a function of the number of hours worked in the qualifying period and the local unemployment rate. Entitlement varies from 14 to 45 weeks.

As shown in the table below, in general, a one-percentage point increase in the regional monthly unemployment rate provides an additional entitlement of two weeks of benefits. An additional 70 hours of work adds one week of entitlement for a claimant with short employment duration (less than 1 400 hours) in the qualifying period and two weeks of entitlement to claimants with long employment duration (over 1 400 hours).

⁶ TaxBEN models income on a monthly period. Waiting periods less than one month are not modelled.

Insured Hours of Work	Regional Unemployment Rate (%)											
	6% and under	Over 6% to 7%	Over 7% to 8%	Over 8% to 9%	Over 9% to 10%	Over 10% to 11%	Over 11% to 12%	Over 12% to 13%	Over 13% to 14%	Over 14% to 15%	Over 15% to 16%	Over 16%
420-454	0	0	0	0	0	0	0	0	26	28	30	32
455-489	0	0	0	0	0	0	0	24	26	28	30	32
490-524	0	0	0	0	0	0	23	25	27	29	31	33
525-559	0	0	0	0	0	21	23	25	27	29	31	33
560-594	0	0	0	0	20	22	24	26	28	30	32	34
595-629	0	0	0	18	20	22	24	26	28	30	32	34
630-664	0	0	17	19	21	23	25	27	29	31	33	35
665-669	0	15	17	19	21	23	25	27	29	31	33	35
700-734	14	16	18	20	22	24	26	28	30	32	34	36
735-769	14	16	18	20	22	24	26	28	30	32	34	36
770-804	15	17	19	21	23	25	27	29	31	33	35	37
805-839	15	17	19	21	23	25	27	29	31	33	35	37
840-874	16	18	20	22	24	26	28	30	32	34	36	38
875-909	16	18	20	22	24	26	28	30	32	34	36	38
910-944	17	19	21	23	25	27	29	31	33	35	37	39
945-979	17	19	21	23	25	27	29	31	33	35	37	39
980-1014	18	20	22	24	26	28	30	32	34	36	38	40
1015-1049	18	20	22	24	26	28	30	32	34	36	38	40
1050-1084	19	21	23	25	27	29	31	33	35	37	39	41
1085-1119	19	21	23	25	27	29	31	33	35	37	39	41
1120-1154	20	22	24	26	28	30	32	34	36	38	40	42
1155-1189	20	22	24	26	28	30	32	34	36	38	40	42
1190-1224	21	23	25	27	29	31	33	35	37	39	41	43
1225-1259	21	23	25	27	29	31	33	35	37	39	41	43
1260-1294	22	24	26	28	30	32	34	36	38	40	42	44
1295-1329	22	24	26	28	30	32	34	36	38	40	42	44
1330-1364	23	25	27	29	31	33	35	37	39	41	43	45
1365-1399	23	25	27	29	31	33	35	37	39	41	43	45
1400-1434	24	26	28	30	32	34	36	38	40	42	44	45
1435-1469	25	27	29	31	33	35	37	39	41	43	45	45

1470-1504	26	28	30	32	34	36	38	40	42	44	45	45
1505-1539	27	29	31	33	35	37	39	41	43	45	45	45
1540-1574	28	30	32	34	36	38	40	42	44	45	45	45
1575-1609	29	31	33	35	37	39	41	43	45	45	45	45
1610-1644	30	32	34	36	38	40	42	44	45	45	45	45
1645-1679	31	33	35	37	39	41	43	45	45	45	45	45
1680-1714	32	34	36	38	40	42	44	45	45	45	45	45
1715-1749	33	35	37	39	41	43	45	45	45	45	45	45
1750-1784	34	36	38	40	42	44	45	45	45	45	45	45
1785-1819	35	37	39	41	43	45	45	45	45	45	45	45
1820 and over	36	38	40	42	44	45	45	45	45	45	45	45

Average Canada unemployment rate is 9.2% in January 2021 (source: CANSIM - Tableau: 14-10-0287-01 (formerly CANSIM 282-0087) available at Statistics Canada - <http://www5.statcan.gc.ca/cansim/>). We will thus use this average to determine maximum duration (44 weeks in 2021).

Each EI special benefit is payable for a specified maximum duration. Sickness benefits are payable for up to 15 weeks, family caregiver benefit for children can be paid for up to 35 weeks, family caregiver benefit for adults can be paid for up to 15 week, and compassionate care benefits can be paid for up to 26 weeks. EI maternity and parental benefits are available to across Canada except in the province of Quebec, which has its own maternity and parental benefits plan. EI maternity benefits can be paid for up to 15 weeks.

As of March 17, 2021, EI standard parental benefits can be paid for up to 40 weeks when parents share benefits (no parent can access more than 35 weeks). EI extended parental benefits can be paid for up to 69 weeks when parents share benefits (at a lower rate). No parent can access more than 61 weeks.⁷

Under the EI program, self-employed fishers are separated into two distinct qualifying periods: summer and winter fishing. Fishers who are active in both seasons can establish two claims for EI fishing benefits in a single year. All fishers who qualify for the program are entitled to up to 26 weeks of benefits per benefits period.⁸

COVID-19 measures: Temporary Changes to the EI Program

Enhanced Employment Insurance Program

In response to the COVID-19 pandemic, in April 2020 the Government of Canada introduced the Canada Emergency Response Benefit (CERB). The CERB provided a monthly payment to eligible workers and the self-employed, who lost their income due to COVID-19. As of September 27, 2020, the Government transitioned CERB recipients to a simplified and a temporarily enhanced EI program. The Government enhanced the EI

⁷ TaxBEN does not model maternity or disability benefits for Canada.

⁸ TaxBEN does not model self-employment and so does not model benefits for self-employed fishers.

program for a period of one year, until September 2021, by expanding eligibility (i.e., reducing the minimum hours of work required to qualify), enhancing benefit generosity, and extending benefit duration to at least 26 weeks.

Summary of temporary measures to help Canadians access EI benefits more easily:

- A one-time credit of 300 hours allows workers to qualify for EI benefits with 120 insurable hours of work;
- If an individual received the Canada Emergency Response Benefit (CERB), the 52-week period to accumulate insured hours will be extended.
- A minimum benefit rate of CAD 500 per week, or CAD 300 per week for extended parental benefits;
- At least 26 weeks of regular benefits;
- A minimum unemployment rate of 13.1% applies to all regions across Canada; and,
- An EI premium rate frozen at the 2020 premium rate for two years.

In response to the increase in people needing support during the COVID-19 pandemic, the Government has temporarily waived the waiting period for EI claimants who establish a new claim between January 31, 2021 and September 25, 2021. This enables workers to be paid for their first week of unemployment.

2.1.4. *Means test*

The benefit is not means-tested.

2.1.5. *Tax treatment*

Recipients of EI benefits pay income taxes on benefits received, but they are not subject to SS contributions. EI Beneficiaries whose net income exceeded CAD 66 375 in 2021 have to repay the lesser of 30% of the total regular or fishing benefits received in that taxation year or 30% of the income above that threshold. This provision does not apply to those who have not received EI regular or fishing benefits in the ten years prior to the taxation year in question. First time claimants, as well as special benefits claimants, are exempt from this repayment provision.⁹

2.1.6. *Interactions with other components of the tax-benefit system*

No information.

2.1.7. *Combining benefit receipt and employment/starting a new job*

On August 8, 2018, the previously temporary Working While on Claim (WWC) became permanent. The WWC reduces EI benefits by 50 cents for every dollar earned, up to a threshold of 90% of the weekly insurable earnings used to calculate the EI benefit amount. Earnings above this threshold are deducted dollar for dollar from EI benefits. If benefits are reduced to zero for a week, that week of entitlement is kept by the claimant for use in the benefit period.

⁹ TaxBEN does not model unemployment benefit histories, and so this repayment provision is not included in the model.

2.2. Unemployment assistance

Employment Insurance provides a number of Employment Benefits and Support Measures (EBSMs), under Part II of the EI Act, which help unemployed workers get back to work as quickly as possible. These include:

- Long-term employment benefits available only to unemployed EI clients such as Skills Development benefits, Self-employment Assistance, Targeted Wage Subsidies and Job Creation Partnerships.
- Short-term interventions such as Employment Assistance Services which includes counselling and group services that are available to all unemployed Canadians.

These benefits are not modelled in TaxBEN.

COVID-19 measures (Not currently implemented in TaxBEN model)

For those who may not be eligible for EI regular benefits, such as the self-employed, the Government of Canada also introduced the Canada Recovery Benefit (CRB) to support Canadians who have not returned to work due to COVID-19 or whose income has dropped by at least 50 per cent.

Canada Recovery Benefit

2.2.1. Entitlement and eligibility conditions

An individual is eligible if they were not employed or self-employed for reasons related to COVID-19, or if they had a 50% reduction in average weekly income compared to the previous year due to COVID-19. Other eligibility conditions include:

- Having earned at least CAD 5,000 in 2019, 2020, or in the 12 months before the date you apply from any of the following sources:
 - employment income (total or gross pay)
 - net self-employment income (after deducting expenses)
 - maternity and parental benefits from EI or similar QPIP benefits
- Being aged 15 and older, residing in Canada and having a Social Insurance Number.
- Not being eligible for EI benefits.
- Not having applied or in receipt of any of the following supports:
 - Canada Recovery Sickness Benefit (CRSB)
 - Canada Recovery Caregiving Benefit (CRCB)
 - short-term disability benefits
 - Employment Insurance (EI) benefits
 - Québec Parental Insurance Plan (QPIP) benefits
- Not quit a job or reduced work hours voluntarily on or after September 27, 2020, unless it was reasonable to do so.
- Were seeking work during the period, either as an employee or in self-employment.

- Not turned down reasonable work during the 2-week period for which applying for benefits.
- Not self-isolating or in quarantine due to international travel.

2.2.2. Benefit amounts

Eligible recipients could receive CAD 1,000 (CAD 900 after taxes withheld) for a 2-week period.

Benefit Duration

Each Canada Recovery Benefit (CRB) eligibility period is a specific 2-week period. When an individual applies, they will receive a CAD 1,000 (CAD 900 after taxes withheld) payment for the period that they applied for.

The CRB does not renew automatically. Individuals must apply for each period separately. Individuals can apply for a maximum of 19 periods out of the total 26 periods available between September 27, 2020 and September 25, 2021. The 19 periods do not have to be taken consecutively.

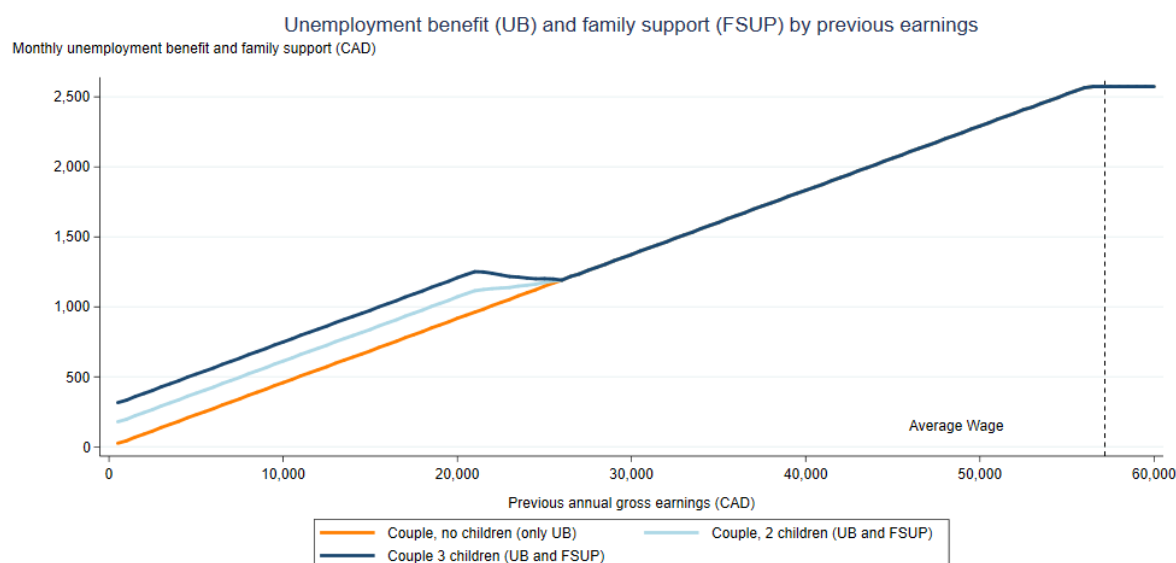
Individuals may also apply for benefits retroactively for any period up to 60 days after that period has ended.

Once individuals have reached the maximum of 19 periods (38 weeks), they can no longer receive the CRB.

2.2.3. Tax treatment

A 10% tax is applied at source. As such, a CAD 1,000 benefit is taxed 10% and reduced to CAD 900. This tax is applied at each 2-week benefit period.

In addition, individuals earning more than CAD 38,000 net income in the calendar year, will need to reimburse some or all of the benefit at tax time. These individuals will have to reimburse CAD 0.50 of the CRB for every dollar of net income earned above CAD 38,000 on their income tax return. Individuals do not have to reimburse more than they received that year.

Figure 1 – Unemployment Benefits by previous gross earnings

Note: All adults are 40 years old. Children, if present are 4 and 6. Spouse does not work. Previous long and continuous employment record assumed.

3. Social assistance and housing benefits

3.1. Social Assistance (Ontario Works)

Variable names: [\[SA\]](#)

This is a non-contributory, means-tested and non-taxable benefit.

Social assistance provides financial assistance to cover the cost of basic living requirements, and in-kind goods and services, for an individual or family when all other financial resources have been exhausted.

Social assistance (or welfare) is administered by the provinces and territories, which set their own rules and payment rates. The Province of Ontario's system for providing social assistance is used in this report.

3.1.1. Eligibility conditions

Social assistance is a "needs-tested" benefit. If the assets of an applicant's household are within allowable limits, non-exempted income is applied to the cost of basic needs. If there is a budgetary deficit, the household qualifies for social assistance. Where there is a budgetary surplus that is insufficient to cover the cost of a special need that is approved by welfare authorities, social assistance may be granted to cover the special need only. Each jurisdiction defines assets, income and needs in its social assistance legislation.

Eligible employable persons are actively encouraged to pursue, accept, and retain any reasonable offer of employment or retraining as an initial and continuing condition of eligibility for social assistance. Thus, many jurisdictions offer employment services and training opportunities in combination with financial assistance. Should a recipient choose not to pursue employment or retraining, he/she may be subject to penalties ranging from a specified reduction in benefits over a prescribed period of time to the full cancellation of benefits.

To ensure that those who successfully leave social assistance for employment are better off working, a number of provinces and territories have introduced earned income or working income supplements.

As a condition of continuing eligibility for assistance, beneficiaries must report immediately any change in the circumstances of their household that would affect their entitlement to assistance. In addition, some jurisdictions require that long-term social assistance clients be reviewed every year, and more frequently for short-term clients.

3.1.2. *Benefit amount*

The total payment amount consists of a basic personal allowance, a shelter allowance to assist in the payment of (total actual) housing costs and, in some jurisdictions, allowances for regularly-recurring approved special needs (e.g., diabetic food allowance).

Shelter allowances are set by provincial governments to reflect actual costs within their jurisdictions. However, in New Brunswick and Quebec, social assistance benefits are paid as a “global” benefit, and clients are responsible for apportioning the allowance to shelter and other needs as they see fit.

In Ontario, there are two major social assistance programs: Ontario Works, which provides income and employment assistance for people who are in temporary financial need; and the Ontario Disability Support program, designed to meet the unique needs of people with disabilities who are in financial need, or who want and are able to work and need support (not modelled). This section is based on the Ontario Works program.

Monthly Ontario Works rates, in CAD

Effective October 2018 (still valid 1 January 2021)
(basic allowance + maximum shelter allowance)

Family structure	Single	Couple
No children	733 (343+390)	1136 (494+642)
One child aged 0 - 17	1002 (360+642)	1191 (494+697)
Two children aged 0 - 17	1057 (360+697)	1250 (494+756)

The maximum basic needs allowance rates are based on the presence of a spouse, the number of members in the household and the number of children in the household.

In Ontario, when childcare is used, a deduction can be made on the reference income for the calculation of Social Assistance. In 2021, this deduction is set at the actual cost of licensed childcare and a maximum of CAD 600 per month, per child if unlicensed child care is used.

3.1.3. *Benefit duration*

Benefits are paid as long as there is a need, i.e., as long as household assets are within allowable limits and non-exempt income is insufficient to cover basic needs or approved special needs, and provided that all other administrative requirements are met (e.g., job search for employable clients). There are no time limits on benefit duration in Ontario.

3.1.4. Means test

Effective September 1, 2013, the earnings exemption allows for up to CAD 200 per month per family member of employment earnings before social assistance benefits are reduced. Employment earnings above CAD 200 reduce social assistance benefits at a rate of 50 percent. This earnings disregard does not take effect until a client household has been in receipt of social assistance for three full months.

3.1.5. Tax treatment

Social assistance benefits are not taxable, but must be declared on a tax filer's income tax return.

3.1.6. Interaction with other components of the tax-benefit system

Benefits are counted as income in calculating entitlement to federal and provincial child tax benefits and sales tax credits.

3.1.7. Combining benefit receipt and employment/starting a new job

Full-Time Employment Benefit (FTEB):

Up to CAD 500 FTEB will be provided to help participants who obtain full-time employment (i.e., 30+ hours per week) with the costs of going to work if they have been on assistance for 3 consecutive months or more.¹⁰

Extended Employment Health Benefit:

Current Ontario Works health benefits may be provided to participants who exit Ontario Works to employment for a transitional period of up to 6 months or until the participant receives health benefit from his/her employer with the possibility of extension for an additional 6 months in exceptional circumstances. The health benefits include items such as prescribed drugs, cost for dental services and vision items etc.

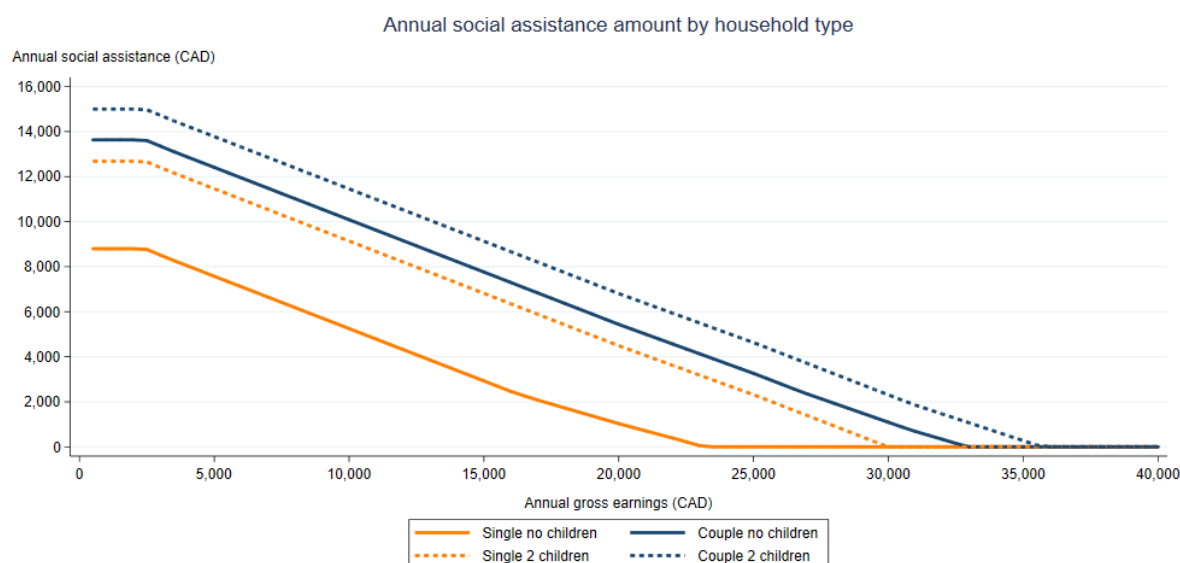
Other Employment and Employment Assistance Activities Benefit

The Other Employment and Employment Assistance Activities Benefit is available for a social assistance beneficiary (and a spouse or same-sex partner) who begins employment or a training program, changes employment or begins an employment assistance activity. The benefit provides up to CAD 253 once in every 12-month period for actual reasonable expenses.

3.2. Housing benefit

No regular housing benefit exists but social assistance includes shelter allowance (see Section 3.1).

¹⁰ TaxBEN does not model social assistance histories, and so the Ontario Full-Time Employment Benefit is not included in the model.

Figure 2 – Social Assistance by gross earnings

Note: All adults are 40 years old. In case of couples, spouse does not work. Children, if present, are 4 and 6 years old.

4. Family benefits

Variable names: **[FB]**

The Canada Child Benefit (CCB) is a federal income-tested benefit for families with children under 18 years of age. As such, the CCB provides more support to families who need help the most.

Provinces and territories also provide a range of benefits and services for families with children. Both the federal government and the provinces and territories are involved in the provision of child care assistance through direct benefits, the personal income tax system and subsidies.

4.1. Family benefit on the federal level (Canada Child Benefit (CCB))

Variable names: **[CCB]**

This is a non-contributory benefit, means-tested and not taxable.

In July 2016, the Government of Canada replaced the Canada Child Tax Benefit (CCTB), National Child Benefit Supplement (NCBS) and the Universal Child Care Benefit (UCCB) with a new Canada Child Benefit (CCB).

The Canada Child Benefit application is used to determine eligibility for a number of related provincial and territorial child benefit and credit programs. Provincial/territorial investments are made in a number of areas, including: childcare, earnings supplements and child benefits, early childhood services, and supplementary health benefits.

4.1.1. Eligibility conditions

All families with children under the age of 18 are eligible for the CCB benefit.

To be eligible for the CCB, an individual must be a resident of Canada for tax purposes and must reside with the qualified dependant and be the person who primarily fulfils the

responsibility for the care and upbringing of the qualified dependant or be a shared-custody parent.¹¹

4.1.2. Benefit amount

The Canada Child Benefit (CCB) is calculated as follows:

A maximum benefit of CAD 6,765 per year (CAD 563.75 per month) for each eligible child under the age of 6 and CAD 5,708 per year (CAD 475.66 per month) for each eligible child aged 6 to 17.¹²

The maximum benefit amount is reduced when the adjusted family net income (AFNI)¹³ is over CAD 31,711, at the following rates:

For families with one eligible child:

- the reduction is 7% of the amount of AFNI greater than CAD 31,711 up to CAD 68,708;
- for income greater than CAD 68,708, the reduction is CAD 2,590 plus 3.2% of AFNI greater than CAD 68,708.

For families with two eligible children:

- the reduction is 13.5% of the amount of AFNI greater than CAD 31,711 up to CAD 68,708;
- for income greater than CAD 68,708, the reduction is CAD 4,995 plus 5.7% of AFNI greater than CAD 68,708.

For families with three eligible children:

- the reduction is 19% of the amount of AFNI greater than CAD 31,711 up to CAD 68,708;
- for income greater than CAD 68,708, the reduction is CAD 7,029 plus 8% of AFNI greater than CAD 68,708.

For families with four or more eligible children:

- the reduction is 23% of the amount of AFNI greater than CAD 31,711 up to CAD 68,708;
- for income greater than CAD 68,708, the reduction is CAD 8,509 plus 9.5% of AFNI greater than CAD 68,708.

¹¹ With respect to shared custody, each parent with shared custody receives 50% of what they would have received if they had full custody of the child, calculated based on their own adjusted family net income. Shared custody is not modelled in TaxBEN.

¹² More information is available at: <https://www.canada.ca/content/dam/cra-arc/formspubs/pub/t4114/t4114-20e.pdf>

¹³ Adjusted family net income is equal to your family net income minus any universal child care benefit (UCCB) and registered disability savings plan (RDSP) income received, plus any UCCB and RDSP amounts repaid. TaxBEN does not model RDSP income.

4.1.3. *Benefit duration*

Benefits are paid monthly over a 12-month period from July 2020 to June 2021 based on:

- the adjusted family net income from 2019
- the number of eligible children living in the family, and
- the ages of those children.

4.1.4. *Means test*

The combined adjusted net income reported by both spouses (that is, family net income adjusted by family size) is used to calculate benefit entitlements.

4.1.5. *Tax treatment*

Canada Child Benefit payments are not taxable.

4.1.6. *Interaction with other components of the tax-benefit system*

Amounts received under the new CCB will not be taxable and will not reduce benefits paid under the goods and services tax credit. They will also not be included in income for the purposes of federal income-tested programs delivered outside of the income tax system.

4.1.7. *Combining benefit receipt and employment/starting a new job*

4.2. **Family benefit on the regional level (Ontario Child Benefit (OCB))**

Variable names: [\[OCB\]](#)

This is a non-contributory benefit, means-tested and not taxable.

In its 2007 Budget, the Government of Ontario announced the creation of the Ontario Child Benefit (OCB) to help low- to moderate-income families provide for their children.

4.2.1. *Eligibility conditions*

A person may qualify for the Ontario Child Benefit (OCB), if they:

- are the primary caregiver of a child under 18;
- are a resident of Ontario;
- have filed and had assessed a previous year's income tax return, and so have their spouse or common-law partner; and
- are registered their child for the federal Canada Child Benefit.

The Canada Revenue Agency will automatically review eligibility the applicant's spouse/common law partner's income tax returns from the previous year are assessed and they have registered their child for the Canada Child Benefit.

If eligible, the Ontario Child Benefit is included with Canada Child Benefit monthly payments. The OCB program is funded entirely by the Province of Ontario. The Canada Revenue Agency administers this program on behalf of Ontario.

4.2.2. *Benefit amount*

For July 2020 to June 2021, eligible families receive up to CAD 121.75 per month or CAD 1,461 per year for each child under 18 years of age. Families with an adjusted family net income above CAD 22,303 receive a partial benefit. The amount of OCB a family is eligible for depends on their adjusted family net income and number of children under the age of 18.

Ontario Child Benefit (OCB)	2021 (annual basis)
Maximum per child <18	CAD 1 461
Level of adjusted family net income for tax purposes where benefit starts to be reduced	CAD 22 303
Reduction rate	8%

4.2.3. *Benefit duration*

Benefits are paid monthly over a 12-month period from July 2020 to June 2021. OCB payments are delivered with the Canada Child Benefit in a single monthly payment.

4.2.4. *Means test*

For the purposes of determining how much will be received for the Ontario Child Benefit, adjusted family net income is defined as the net income amount on line 236 of the Canada Revenue Agency personal income tax form for both the applicant and spouse/common-law partner if applicable minus any federal Universal Child Care Benefit payments.

4.2.5. *Tax treatment*

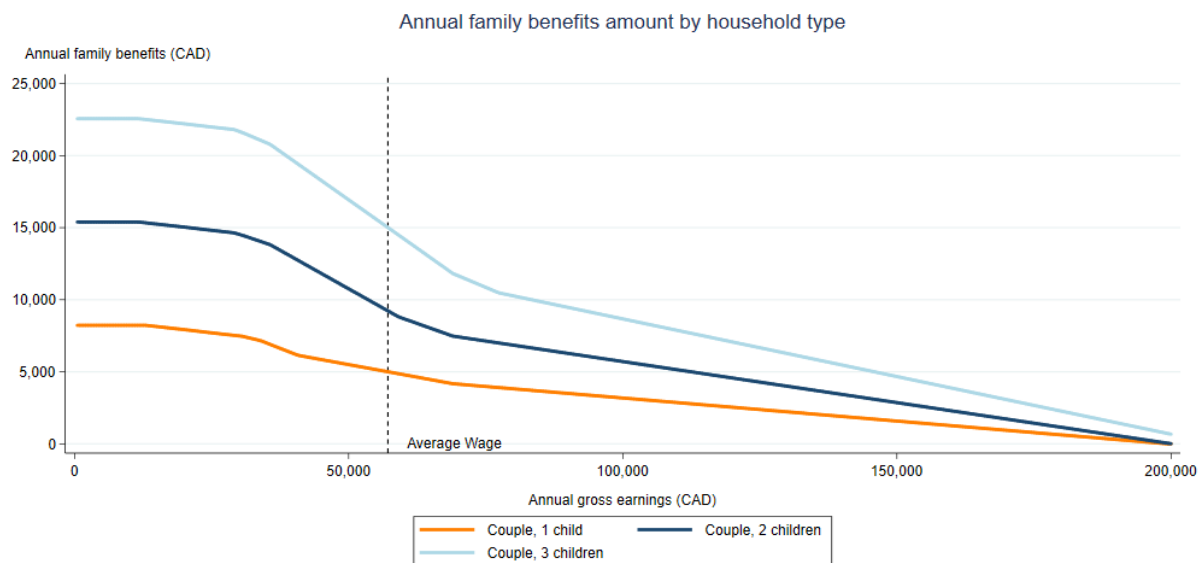
The benefit is not taxable.

4.2.6. *Interaction with other components of the tax-benefit system*

No information.

4.2.7. *Combining benefit receipt and employment/starting a new job*

No information.

Figure 3 – Family Benefits by gross earnings

Note: Figures for 40-year old one-earner couple. (Spouse receives SA if eligible).

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **January 1, 2021**.

The type of childcare provided in Canada varies across the provinces and territories. The federal government works with provinces and territories to address the unique childcare needs of each region through funding supports in bilateral agreements, and a Multilateral Early Learning and Child Care Framework.

While the Government of Canada supports provinces and territories and works to help develop childcare across the country, legislative and regulatory childcare and education decisions fall largely within provincial and territorial jurisdictions. This includes legislation and policy in areas such as the compulsory school age and internal funding arrangements.

The compulsory school age for most of Canada begins at six years old, with kindergarten provision beginning either at age 5 or 4 depending on the region. While kindergarten is publicly funded across Canada, provinces and territories differ by providing either full-day or half-day kindergarten at certain ages.

5.1. Gross childcare fees

Variable names: **[CAcc_cost]**

Parent fees for regulated care vary within and across provinces and depend on the age of the child in care, the type of care arrangement (centre-based, family care, preschool) and the hours of care (full/part time). For children age 4 and under, the median cost of full-time child care differed by province ranging from CAD 152 a month in Quebec to CAD 677 per child in Ontario.¹⁴

¹⁴ These costs are based on the amount of money spent by parents, but do not consider income tax credits or other financial supports that can reduce out of pocket expenses.

In the model the rules for Ontario are simulated.

5.1.1. Discounts for part-time usage

No information.

5.2. Fee discounts and free provision

Variable names: `[cc_subsidy]`

5.2.1. Eligibility

Families can benefit from Ontario child care subsidy for children under 12 years old (or up to 18 years old if the child has special needs) attending a licensed child care program or a school-aged child enrolled in an approved recreation program or a before- and after-school program operated directly by a school board.

Financial eligibility based on income test and social assistance status; parents must be working, in training, or participating in employment assistance activities, unless the child has special needs.

5.2.2. Amount of discount or free provision

The amount parents pay for child care depends on family's adjusted net income and is determined by municipalities. Full subsidy eligibility is up to family net income of up to CAD 20,000.

5.2.3. Variation by income

Families earning less than CAD 20,000 may be able to get a full subsidy, and families earning between CAD 20,000 and CAD 40,000 will pay 10% of income above CAD 20,000. Families earning over CAD 40,000 will pay CAD 2,000 plus 30% of their income that is over CAD 40,000.

5.3. Child-care benefits for formal centre-based care

Variable names: `[cc_benefit]`

In July 2016, the federal government introduced the Canada Child Benefit (CCB). The CCB replaced the Canada Child Tax Benefit (CCTB), the National Child Benefit Supplement, and the Universal Child Care Benefit with one tax-free and targeted benefit (see Section 4.1).

In Ontario, when childcare is used, a deduction can be made on the reference income for the calculation of Social Assistance. In 2016, this deduction is set at the actual cost of licensed childcare and a maximum of CAD 600 per month, per child if unlicensed child care is used (see Section 3.1.2).

5.4. Child care allowance for children not using child care centers

None.

5.5. Tax concessions for childcare expenditures

The Child Care Expense Deduction is a deduction in the federal tax system that could be claimed by the person supporting the eligible child under 16 years of age (**or** the person with the lower net income if more than one person is supporting the eligible child).

5.5.1. *Eligibility*

Child care expenses are amounts paid to have someone look after an eligible child so that person or people supporting the eligible child could:

- earn income from employment;
- carry on a business either alone or as an active partner;
- attend school under the conditions identified under Educational program; or
- carry on research or similar work, for which you or the other person received a grant.

Child care expenses could be claimed for services paid to:

- caregivers providing child care services;
- day nursery schools and daycare centres;
- educational institutions, for the part of the fees that relate to child care services;
- day camps and day sports schools where the primary goal of the camp is to care for children (an institution offering a sports study program is not a sports school); or

boarding schools, overnight sports schools, or camps where lodging is involved.

5.5.2. *Maximum amount*

Annual childcare expense amount that could be claimed is:

- CAD 8,000 for each child under seven years of age at the end of the year;
- CAD 5,000 for each child over six years of age at the end of the year and under 16 years of age at any time during the year; or

CAD 5,000 for each child over 15 years of age throughout the year who has a physical or mental infirmity and is dependent on the taxpayer, or the taxpayer's spouse or common-law partner; or

- CAD 11,000 at any age, for whom the disability amount can be claimed (Not modelled in TaxBEN)

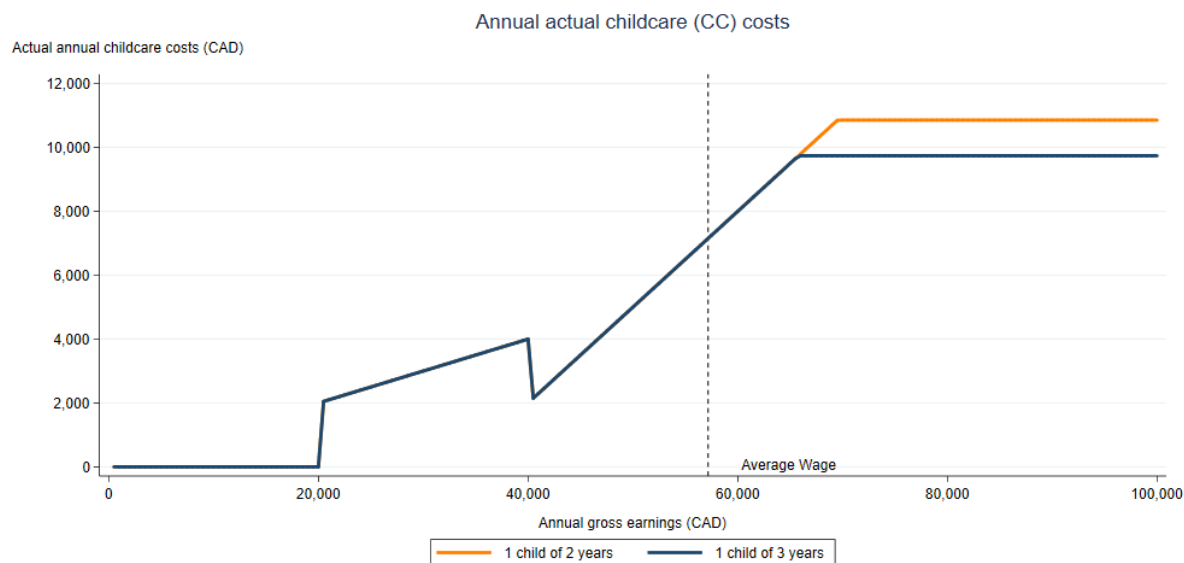
5.5.3. *Variation by income*

The annual child care expense amount for each child is determined with reference to the child's age, physical and mental condition.

A taxpayer's claim for child care expenses for a year cannot exceed two-thirds of the taxpayer's earned income for that year.

5.5.4. *Impact on overall income tax calculation*

The annual child care expense amounts are deducted as indicated in the maximum eligible amounts indicated in section 5.5.2.

Figure 4 – Childcare Cost by gross earnings

Note: For 40-year old single parent with 1 child.

6. In-work benefits

Variable names: **[IW]**

In 2007, the Government of Canada introduced an earned-income supplement, the Working Income Tax Benefit (WITB), to help make work pay for low- and modest-income Canadians. The 2018 federal budget introduced the Canada Workers Benefit (CWB). The CWB is an enhanced, more accessible version of the Working Income Tax Benefit.

A number of provinces and territories have also implemented programs, which provide earned-income supplements. In addition, all Canadian provinces offer special work-related supports to social assistance clients who are joining or re-joining the labour force. These range from coverage for special work-related expenses such as clothing, transportation and, in some jurisdictions, day care, to an actual bonus for participation in work activities.

6.1. Canada Workers Benefit (CWB)

This is a non-wastable, non-contributory benefit, not means-tested and not taxable.

6.1.1. Eligibility conditions

The CWB is intended for low-income workers. An individual is eligible for the CWB if they are:

- a resident of Canada for income tax purposes throughout the year; and,
- 19 years of age or older on December 31,

An individual is *not* eligible for the CWB if:

- They are enrolled as a full-time student at a designated educational institution for more than 13 weeks in the year (exception if the student has an eligible dependent),
- They are confined to a prison or similar institution for a period of 90 days or more in the year; or
- they do not have to pay tax in Canada, because they are an officer or servant of another country, such as a diplomat, or are a family member or employee of such person.

Recognizing that some low-income workers are not receiving the benefits to which they are entitled, the Canada Revenue Agency (CRA) is now automatically determining whether tax filers are eligible for the benefit, even if they do not claim it, to ensure that everyone entitled to the CWB receives it.

6.1.2. Benefit amount

The Canada Workers Benefit (CWB) is a refundable tax credit, which provides up to CAD 1 381 for single individuals and CAD 2 379 for couples and families with children in 2021 (based on income for the 2020 tax year). The benefit is phased in at a rate of 26% on working income greater than CAD 3 000.¹⁵

For single individuals without children, the maximum benefit is paid if working income is between CAD 8 312 and CAD 13 064 in 2021. For single individuals, the CWB is reduced at 12% on adjusted net income greater than CAD 13 064. No CWB is paid when net income exceeds CAD 24 573.

For families, the maximum benefit is paid if working income is between CAD 12 150 and CAD 17 348 in 2021. For families, the CWB is reduced at 12% on adjusted family net income greater than CAD 17 348. No CWB is paid when family net income exceeds CAD 37 173.

6.1.3. Benefit duration

The CWB is a refundable tax credit and individuals must submit an income tax return to receive the benefit. As a result, the CWB is paid once a year as part of the annual tax refund. However, eligible recipients have the option to apply for and receive up to four advance payments. CWB advanced payments are generally issued on the 5th day of each quarter from April of one year to January of the next year. The CWB advance payments correspond to a maximum of 50% of the CWB refundable tax credit (including the disability supplement, if applicable) the individual or family expect to claim on their income tax return. Any CWB that they are entitled to and did not receive as advance payments are paid when the income tax return is assessed.

6.1.4. Means test

Not means-tested.

6.1.5. Tax treatment

The benefit is not taxable.

¹⁵ More information is available here: <https://www.canada.ca/en/revenue-agency/services/child-family-benefits/witb-amount.html>

6.1.6. *Interaction with other components of the tax-benefit system*

No information.

7. Social security contributions and payroll taxes

7.1. *Social security contributions*

7.1.1. *Contributions payable by employees and benefit recipients*

Pensions

All employees are eligible for coverage under the Canada Pension Plan (Québec Pension Plan in the province of Québec). For 2021, all employees are required to contribute to the Canada Pension Plan at a rate of 5.45% of income up to a maximum contribution of CAD 3,166.45 (the contribution rate is 5.90% of income for the Québec Pension Plan up to a maximum contribution of CAD 3,427.90). Income subject to contributions is earnings (wages and salaries) less a CAD 3 500 basic exemption. The maximum contribution of CAD 3,166.45 is reached at an earnings level of CAD 61,600 i.e. $(\text{CAD } 61,600 - \text{CAD } 3\,500) \times 0.0545 = \text{CAD } 3,166.45$. For employees, contributions to the base component of the CPP or QPP (contribution rates of 4.95% and 5.40%, respectively) give rise to a tax credit equal to 15% of the contributed amount. The additional contributions toward the CPP and QPP enhancements (0.50% in 2021) are deductions from taxable income. Employers are also required to contribute to the Canada Pension Plan on behalf of their employees at the same rate and can deduct their contributions from taxable income.

Not modelled: Self-employed persons must also contribute to the Canada Pension Plan (Québec Pension Plan in the province of Québec) on their own behalf. However, the self-employed are required to contribute at the combined employer/employee rate of 10.9% of earnings up to a maximum of CAD 6,332.90 (11.80% of earnings up to a maximum of CAD 6,855.80 in Quebec). The self-employed can deduct the employer portion of their contribution from income, equal to 50% of the total contribution or CAD 3,166.45 (3,427.90 in Quebec), as well as the enhancement component of the employee portion. The remaining amount, representing the base component of the employee portion, is then claimed as a tax credit at 15%.

Sickness Benefit (not modelled in TaxBEN)

The Government of Canada's Employment Insurance (EI) program offers a sickness benefit that provides up to 15 weeks of short-term income replacement. This benefit is available to eligible claimants who are unable to work because of illness, injury or quarantine to allow them time to restore their health so that they can return to work. Workers who have access to employer paid leave need to exhaust their benefits before accessing the EI sickness benefit.

The Ontario Health Premium

All provinces have provincially-administered health care insurance plans. Three provinces, Quebec, Ontario, and British Columbia, levy health insurance premiums on individuals separately from the personal income tax to help finance their health programmes.

In the case of Ontario, the premium is determined based on taxable income. Individuals who earn up to CAD 20 000 are exempt. The premium is phased in with a number of different rates to a maximum of CAD 900 for taxable income levels greater than

CAD 200 600. The following table provides further details on the structure that is applicable in 2021.

Taxable Income	Fixed Component (CAD)	Variable Component
0 to CAD 20 000	0	
CAD 20 000 to CAD 25 000	0	6% of the taxable income in excess of CAD 20 000
CAD 25 000 to CAD 36 000	300	
CAD 36 000 to CAD 38 500	300	6% of the taxable income in excess of CAD 36 000
CAD 38 500 to CAD 48 000	450	
CAD 48 000 to CAD 48 600	450	25% of the taxable income in excess of CAD 48 000
CAD 48 600 to CAD 72 000	600	
CAD 72 000 to CAD 72 600	600	25% of the amount of taxable income in excess of CAD 72 600
CAD 72 600 to CAD 200 000	750	
CAD 200 000 to CAD 200 600	750	25% of the amount of taxable income in excess of CAD 200 000
Over CAD 200 600	900	

Unemployment

In general, all employees are eligible for Employment Insurance. Eligibility to receive benefits is determined by insurable hours worked (with a minimum entry threshold of 420 to 700 hours, depending on region and the unemployment rate at the time the claim for benefits starts). For 2021, employees outside Quebec are required to contribute at the rate of 1.58% of insurable earnings. Insurable earnings are earnings (wages and salaries) up to a maximum of CAD 56 300 per year. The maximum employee contribution is therefore CAD 889.54 per year. Employment insurance contributions give rise to a tax credit equal to 15% of the amount contributed. Employers are also required to contribute to the plan.

Quebec residents contribute to Employment Insurance at a rate of 1.18%; the same earnings ceiling applies. They also contribute to the Quebec Parental Insurance Plan at a rate of 0.494% of insurable earnings; maximum insurance earnings for 2021 are CAD 83 500. For a Quebec resident, the maximum employee contribution (Employment Insurance plus Quebec Parental Insurance Plan) is CAD 1 062.89.

7.1.2. Contributions payable by employers

Pensions

Employers are required to contribute to the Canada Pension Plan on behalf of their employees an amount equal to their employees' contributions. Thus, employers also contribute at the rate of 5.45% of earnings (less the CAD 3 500 earnings exemption) to a maximum of CAD 3,166.45. For the Quebec Pension Plan, the contribution rate is

5.90% of earnings, to a maximum of CAD 3,427.90. These amounts can be deducted from their net income when determining their taxes.

Sickness Benefit

The Government of Canada's Employment Insurance (EI) program offers a sickness benefit that provides up to 15 weeks of short-term income replacement. The EI program also encourages the delivery of sickness benefits by private sector employers. Employers who provide short-term disability plan coverage to their employees may be eligible to receive a reduction in their EI premiums through the EI Premium Reduction Program (PRP). The objective of the PRP is to encourage employers to continue to offer their short-term disability plan and assume the risk of the first-payer position when employees became sick. The PRP provides participating employers a premium reduction which recognizes the savings to the EI program resulting from workers using employer benefits for short-term sickness leave rather than accessing EI sickness benefits.

All provinces have provincially-administered health care insurance plans. Three provinces levy a special tax on employer payrolls to finance health services (Québec and Ontario) or health services and education (Manitoba). These payroll taxes are deductible from the employer's income subject to tax. In the case of the province of Ontario, employers pay a Employer Health Tax on the value of their payroll, tax rates varying from 0.98% on Ontario payroll less than CAD 200 000, up to 1.95% for payroll that exceeds CAD 400 000. Certain employers are eligible for a higher exemption of CAD 450 000.

Unemployment

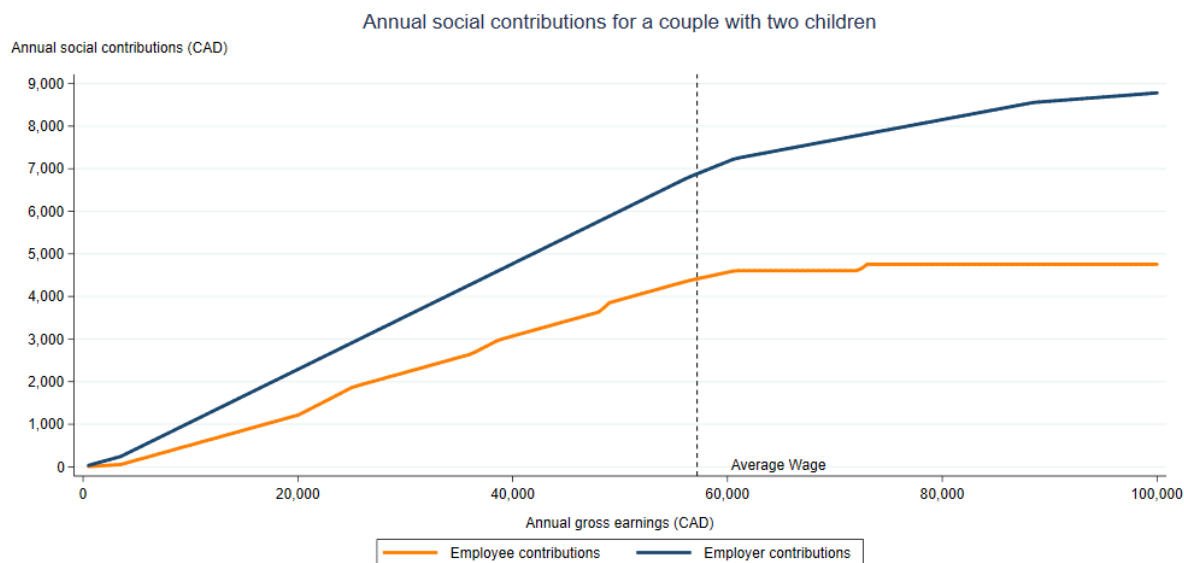
Employers are required to contribute to the employment insurance scheme. The general employer contribution is 1.4 times the employee contribution, that is, 2.27% of insurable earnings (outside Quebec). Premiums are adjusted for employers who provide sick pay superior to payments provided under the employment insurance regime. All employment insurance contributions are deductible from the employer's income subject to tax.

Work injury

There is no national work injury benefit plan administered by the federal government. However, employers are required to contribute to a provincial workers' compensation plan which pays benefits to workers (or their families in case of death) for work-related illness or injury. The employer contribution rates, which vary by industry and province, are related to industry experience of work-related illness and injury. Premiums are deductible from the employer's income subject to tax. In the case of Ontario, employers broadly corresponding to industry Sectors B-N inclusive pay, on average, 2.79% of the wages paid to each employee to a maximum of CAD 88 500.

7.2. Payroll taxes

None.

Figure 5 – Social Security Contributions by gross earnings

Note: 40-year old one-earner couple with 2 children (ages 4 and 6).

8. Taxes

Variable names: **[IT]**

The federal personal income tax system in Canada is progressive, meaning that tax rates rise as taxable income rises. It also includes many deductions, exemptions, and tax credits (both refundable, i.e., non-wastable, and non-refundable i.e., wastable) which serve to reduce taxes payable.

Provinces and territories also set their own tax on personal income.

The federal personal income tax system considers personal income in two ways: it taxes personal income on an individual basis (i.e. individuals pay income tax on their own income); whereas it pays benefits to people based on family income (i.e. family benefits are calculated based on the income of both spouses).

8.1. Federal personal income tax

8.1.1. Tax allowances

-

8.1.2. Tax base

-

8.1.3. Income tax schedule (central government income tax)

Variable names: **[F_INCTAX_s; F_INCTAX_p]**

2021 Federal Income Tax Rates:

Taxable Income (CAD)	Rate (%)
0 – 49 019	15
49 020 – 98 039	20.5
98 040 – 151 986	26
151 987 – 216 510	29
216 511 and over	33

8.1.4. Tax credits

Variable names: [...]

- *Basic personal amount:* All taxpayers qualify for a basic personal tax credit of CAD 2 071.20 (15% of CAD 13 808) in 2021 if their annual gross income is less than the income threshold corresponding to the 29% income tax rate (CAD 151,987). Individuals with incomes above this threshold receive a declining basic personal amount, and they receive a minimum amount of CAD 1863.15 (15% of CAD 12,421) if their earnings equal or surpass the highest income tax threshold (CAD 216,511,368).
- *Credit for Spouse or Eligible Dependant:* A taxpayer supporting a spouse or other eligible dependant receives a tax credit of CAD 2071.20 (15% of CAD 13 808) which is reduced by 15 cents for each dollar of the dependant's income. Similar to the basic personal amount, individuals with incomes above this threshold receive a declining basic personal amount, and they receive a minimum amount of CAD 1863.15 (15% of CAD 12,421) if their earnings equal or surpass the highest income tax threshold (CAD 216,511,368).
- The *Goods and Services Tax Credit* provides a relief of CAD 296 for each adult 19 years of age or older and CAD 155 for each dependent child under the age of 19. As such, an individual who is married or has a common-law partner could receive up to CAD 592 (the maximum payment for adjusted family net income under CAD 38 507). Single tax filers without children could receive a credit of up to CAD 451. (For example, single tax filers without children and with an employment income under CAD 9 590 receive a credit of CAD 296 while those with income higher than CAD 9 590 receive an additional CAD 155 that is phased in at a rate of 2%). Single tax filers with children receive an additional CAD 155 that is not subject to phase-in. The credit received for the first dependent child of a single parent is also increased from CAD 155 to CAD 296. The total amount is reduced at a rate of five percent of net family income over CAD 38 507. The amount is paid directly to families.¹⁶
- *Social security contributions:* Taxpayers are entitled to a 15% credit of their contributions to the base components of the Canada or Quebec Pension Plans (to a maximum credit of CAD 474.97 for the Canada Pension Plan and to a maximum credit of CAD 514.19 for the Quebec Pension Plan) and their Employment Insurance premiums (to a maximum credit of CAD 860.22 outside Quebec). The Employment Insurance premium rate is lower for Quebec residents, who also pay into the Quebec Parental Insurance Plan; the maximum

¹⁶ The payments that relate to the 2020 tax year are payable between July 2021 and June 2022.

combined credit for a Quebec resident is CAD 1 066.14). The remaining CPP/QPP contributions (to the enhancement, a contribution rate of 0.5% in 2021) are deductions at the highest marginal tax rate.

- *Canada Workers Benefit (CWB), formerly the Working Income Tax Benefit:* The CWB provides a non-wastable tax credit equal to 26% of each dollar of earned income in excess of CAD 3 000 to a maximum credit of CAD 1 381 for single individuals without dependents and CAD 2 379 for families (including couples and single parents). The credit is reduced by 12% of net family income in excess of CAD 13 064 for single individuals and CAD 17 348 for families. This is the default national design; provinces may choose to propose jurisdiction-specific changes to this design, subject to certain principles.
- *Canada Employment Tax Credit:* A tax credit of up to CAD 188.55 (15% of CAD 1,257) on employment income.
- *Child care expenses:* A portion of child care expenses is deductible if incurred for the purpose of earning business or employment income, studying or taking an occupational training course or carrying on research for which a grant is received. The lower-income spouse must generally claim the deduction. The amount of the deduction is limited to the least of:
 1. the expenses incurred for the care of a child;
 2. two-thirds of the taxpayer's earned income; and
 3. CAD 8 000 for each child who is under age seven, and CAD 5 000 per child between seven and sixteen years of age. The amount for a disabled child under seventeen is CAD 11 000.

8.2. State and local income taxes

Variable names: [\[LOCTAX_s; LOCTAX_p\]](#)

All provinces and territories levy their own personal income taxes. All, with the exception of Quebec, have a tax collection agreement with the federal government, and thus use the federal definition of taxable income. They are free to determine their own tax brackets, rates and credits. Quebec collects its own personal income tax and is free to determine all of the tax parameters, including taxable income. In practice, its definition of taxable income is similar to the federal definition.

TaxBEN assumes the worker lives in Ontario, the most populous of the 10 provinces and 3 territories. The main features of the Ontario tax system relevant to this report are summarised below.

8.2.1. Tax allowances

-

8.2.2. Tax base

-

8.2.3. Tax Schedule

Income Bracket	Rate (%)
CAD 0 to CAD 45 142	5.05
CAD 45 142 to CAD 90 287	9.15
CAD 90 287 to CAD 150 000	11.16
CAD 150 000 to CAD 220 000	12.16
Over CAD 220 000	13.16

Provincial tax after accounting for wastable credits	Suratx rate
Amounts Exceeding CAD 4 874	20% of the excess amount
Amounts Exceeding CAD 6 237	36% of the excess amount

8.2.4. Tax credits

Wastable tax credits

- A basic tax credit of CAD 549.44.
- A maximum credit of CAD 466.52 for a dependant spouse or eligible dependant that is withdrawn as the income of the spouse or eligible dependant exceeds CAD 924 and is completely withdrawn when the income of the spouse is at least CAD 10 162.
- 5.05% of contributions made to the base component of the Canada Pension Plan or Quebec Pension Plan and of Employment Insurance premiums.¹⁷

Non-wastable tax credits

- Ontario has a Sales Tax Credit that provides a relief of up to CAD 316 for each adult and each child. It is reduced by 4% of adjusted family net income over CAD 24 332 for single people and over CAD 30 415 for families. Families are paid the amount directly.
- Ontario also offers an Energy and property tax credit (OEPTC). This credit is available to renters and, in 2021, provides a maximum of CAD 1 095 for non-seniors. Of this, CAD 243 is for the energy component and CAD 852 is for the property tax component (in addition to a base amount of 59 CAD). Seniors are eligible for an additional CAD 152, providing a total of CAD 1 247. For the computation of the credit, TaxBEN assumes that property taxes are 20% of a household's rent.
- In 2019, the Ontario government introduced the Ontario Childcare Access and Relief from Expenses (CARE) Tax Credit. This refundable (wastable) tax credit is based on the household's income as calculated for the Child Care Expense

¹⁷ Note that contributions are based on location of work, while taxation is based on location of residence. TaxBEN assumed that taxpayers live in the same province that they work.

Deduction. The CARE tax credit amount is equal to the household's eligible child care expenses multiplied by applicable income-dependent the credit rate:

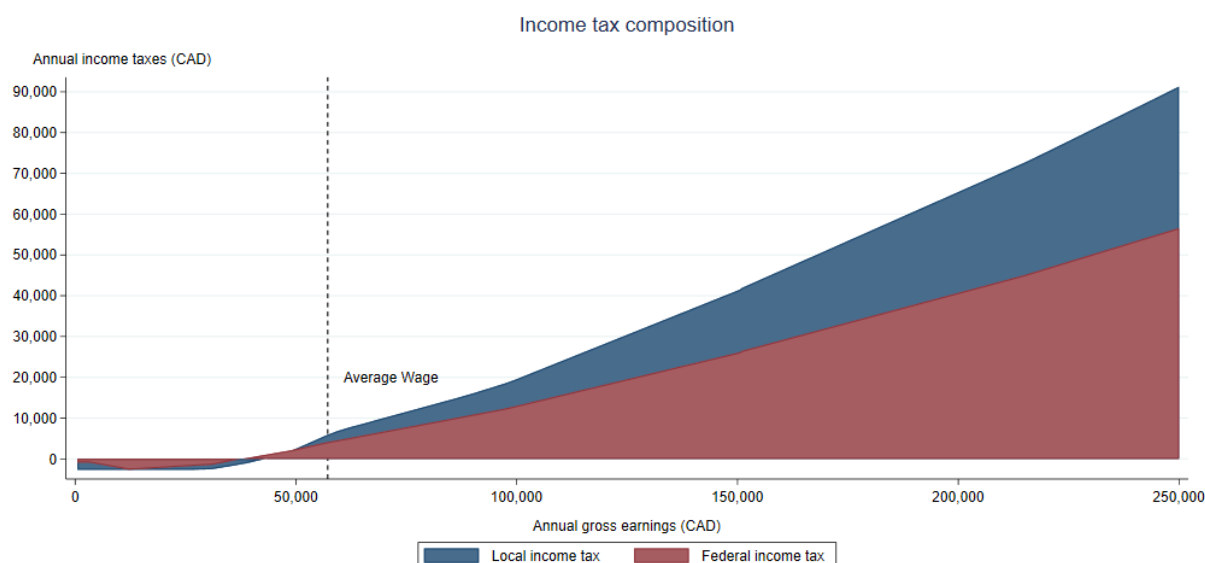
Family Income	CARE Rate Calculation
Up to CAD 20 000	75%
Greater than CAD 20 000 to CAD 40 000	75% minus 2pp for each CAD 2 500 (or part thereof) above CAD 20 000
Greater than CAD 40 000 to CAD 60 000	59% minus 2pp for each CAD 5 000 (or part thereof) above CAD 40 000
Greater than CAD 60 000 to CAD 150 000	51% minus 2pp for each CAD 3 600 (or part thereof) above CAD 60 000
Greater than CAD 150 000	0%

Tax Reduction

- An earner is entitled to claim a tax reduction where the initial entitlement is equal to CAD 251 plus CAD 464 for each dependent child under the age of 19. Where someone has a spouse, only the spouse with the higher net income can claim the dependent child tax reduction. If this amount is greater or equal to the liable provincial tax, then no tax is due. If the amount is less than the liable tax, then the actual tax reduction is equal to twice the initial entitlement amount less the liable tax (if this calculation is zero or negative, the reduction is equal to zero).

Ontario LIFT Credit

- Effective January 1, 2020, Ontario tax filers who have employment income will be able to claim the Low-income Individuals and Families Tax (LIFT) Credit when they file their 2020 tax returns. The credit will be equal to the lesser of CAD 850 and 5.05% of employment income. This amount is reduced by 10% of the greater of adjusted individual net income in excess of CAD 30,000 and adjusted family net income in excess of CAD 60,000. The resulting amount is limited to the taxpayer's personal income tax otherwise payable, excluding the Ontario Health Premium.

Figure 6 – Income Taxes by gross earnings

Note: For 40-year old one-earner couple with 2 children (ages 4 and 6).

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Canada in 2021 (see figure below). TaxBEN by default produces the following output: 1) net household incomes (**black line**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). The figure below shows output for a two-adult family with two children (adults are both 40 years old whereas children are 4 and 6 years old respectively) and four different scenarios:

By percentage of the average wage (**Panel A**);

By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);

By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);

By previous employment record (in months), for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas show the following household income components: **GROSS** = gross earnings; **UB** = unemployment benefits; **SA** = social assistance / guaranteed minimum income benefits; **HB** = housing benefits; **FB** = family benefits; **IW** = in-work benefits; **SSC** = social security contributions; **IT** = income tax. Note that these components may be the result of the aggregation of more than one benefit/tax into a composite category. Please refer to the sections above for the benefits/taxes included in each category.

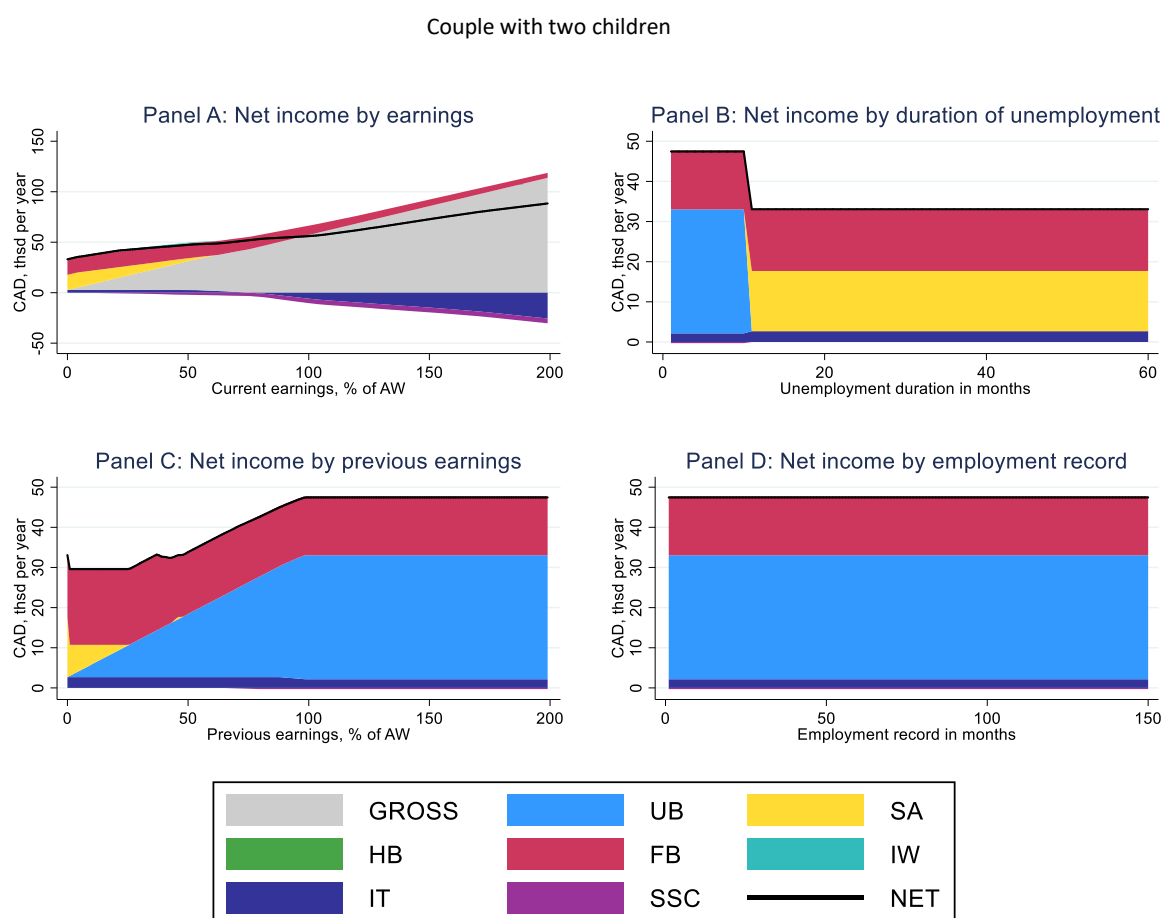
Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as

active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one adult family member (the so-called ‘second adult’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (the so-called ‘first adult’) is employed full-time throughout the entire year at different earnings levels ranging between 0 and 200% of the average wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits (again, e.g. because they have expired) but claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x-axis in Panel B measures the time of benefit receipt, starting from the first month. The x-axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt. In Panel B and D, previous earnings are assumed to be equal to the average wage.

Figure 7. Selected output from the OECD tax-benefit model



Source: Calculations based on the OECD tax-benefit model.

Annex I: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Canada that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Ontario Disability Support Program (ODSP)

The Ontario Disability Support Program (ODSP) is designed to meet the unique needs of people with disabilities who are in financial need, or who want and are able to work and need support.

Family structure	Single	Couple (1 spouse disabled)	Couple (Both spouses disabled)
No children	1169 (672+497)	1750 (969+781)	2122 (1341+781)
One child aged 0 - 17	1596 (815+781)	1815 (969+846)	2187 (1341+846)
Two children aged 0 - 17	1661 (815+846)	1887 (969+918)	2259 (1341+918)

Employment earnings above CAD 200 reduce ODSP benefits at a rate of 50 percent. ODSP provides a disability related employment expense deduction up to a maximum of CAD 1,000 per month.

Canadian Benefit for Parents of Young Victims of Crime (PYVC)

In September 2018, the Government of Canada announced changes to the “Canadian Benefit for Parents of Young Victims of Crime (PYVC) which replaced the Federal Income Support for Parents of Murdered or Missing Children grant. This initiative provides a taxable payment of CAD 450 per week to parents of children under the age of 25 who are missing or are deceased as a result of a probable Criminal Code offence, for a period of up to 35 weeks.

Child Disability Benefit (CDB)

The child disability benefit (CDB) is a monthly benefit included in the CCB to provide financial assistance to qualified families caring for children who have a severe and prolonged impairment in physical or mental functions. Families with children under 18 years of age who qualify for the disability tax credit (DTC) are eligible to receive a CDB.¹⁸

For the 2020-2021 payment year, the CDB provides up to CAD 2,886 per year (240.50 per month) for each child eligible for the DTC. The CDB is reduced when adjusted family net income (AFNI) is more than CAD 68 708. The reduction is calculated as follows:

¹⁸ For more information, please see: <https://www.canada.ca/en/revenue-agency/services/child-family-benefits/child-disability-benefit.html>

- For families with one child eligible for the DTC, the reduction is 3.2% of the amount of AFNI over CAD 68 708.
- For families with two or more children eligible for the DTC, the reduction is 5.7% of the amount of AFNI over CAD 68 708.

Canada Caregiver Credit

The Canada caregiver credit (CCC) is a non-refundable tax credit available to individuals with dependants who have a physical or mental impairment. The claim amount depends on the relationship to the dependent, the individual's circumstances, the dependent's net income, and whether other credits are being claimed for the dependent. Subject to these conditions, in 2021, individuals could claim a maximum of CAD 7 348, for those dependants aged 18 or older with a net income between CAD 7 368 and CAD 24 604.

Canada Workers Benefit disability supplement

The CWB includes a supplement *equal to 26% of each dollar of earned income over CAD 1 150, to a maximum credit of CAD 713*, for persons with disabilities in 2021. For single individuals, the CWB disability supplement is reduced at 12% on net income greater than CAD 24 569 and no disability supplement is paid when net income is more than CAD 30 511. For families, the CWB disability supplement is reduced at 12% on family net income greater than CAD 37 176 and no disability supplement is paid when family net income is more than CAD 43 118, or if both spouses are eligible for the disability tax credit and adjusted family net income is more than CAD 49 060. This is the default national design. The maximum amount for the disability supplement will vary for residents of Quebec.

Annex II: Programs not currently implemented

1.1. Sickness Benefit

1.1.1. Entitlement and eligibility conditions

Workers who are unable to work for medical reasons, and whose regular weekly earnings from work have decreased by more than 40% for at least one week are eligible for sickness benefits. To receive benefits, workers must have a medical certificate showing that they are unable to work for medical reasons, and have accumulated 600 insured hours of work in the 52 weeks before the start of the claim or since the start of their last sickness benefit claim, whichever is shorter.

1.1.2. Benefit amounts

Recipients are paid 55% of their insured average weekly covered earnings, up to the maximum insurable earnings. Average weekly covered earnings are based on the workers best 14 to 22 weeks of earnings (depending on the regional unemployment rate) in the last 52 weeks or since the last claim (whichever period is shorter). The maximum weekly sickness benefit is CAD 573.

1.1.3. Benefit duration

After a one-week waiting period, benefits are paid for up to 15 weeks.

1.2. Mandatory employer sick pay

Canada does not have mandatory employer sick pay.¹⁹

¹⁹ <https://www.canada.ca/en/services/jobs/workplace/federal-labour-standards/leaves.html#h2.1>